

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 18-11

**LICENSING, FINANCIAL RESPONSIBILITY REQUIREMENTS, AND GENERAL
DUTIES FOR OCEAN TRANSPORTATION INTERMEDIARIES**

**COMMENTS OF THE NATIONAL CUSTOMS BROKERS AND FORWARDERS
ASSOCIATION OF AMERICA, INC.**

The National Customs Brokers and Forwarders Association of America, Inc. (“NCBFAA” or “Association”), submits these comments in response to the Notice of Proposed Rulemaking (“NPRM”) published in this docket on December 17, 2018 (83 Fed. Reg. 64503-64506), which proposes to modify the licensing, financial responsibility requirements and general duties for ocean transportation intermediaries (“OTIs”).

The NCBFAA, together with its over 1,000 members and 28 regional associations, is the national trade association representing the interests of freight forwarders, NVOCCs and customs brokers in the ocean shipping industry. The NCBFAA’s members are involved in the transportation and/or logistical arrangements for approximately 90% of the cargo that moves into and out of the United States by ocean. As most of the NCBFAA’s members operate as NVOCCs and/or ocean forwarders, they are directly affected by the Commission’s regulations and policies and, as particularly relevant here, to the proposed changes to the existing regulations that are set forth in the NPRM.

In that regard, both the NCBFAA and many of its members submitted extensive comments in the various rounds of the proceeding in Docket No. 13-05, *Interpretive Rule; Shipping Act of*

1984 (Decision served November 3, 2015) several years ago. The Association was concerned then, as it is now, that the OTI regulations not add burdensome requirements or otherwise infringe on the rights of OTI licensees unless there was a strong policy requiring that action. And, the Commission then largely agreed and significantly modified the original proposed NPRM in recognition of those comments.

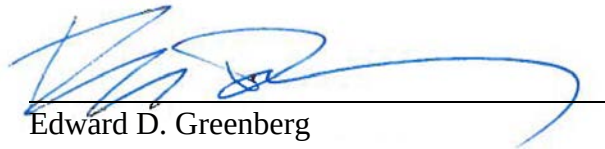
In this NPRM, the Commission is proposing to amend the rules governing licensing, financial responsibility requirements, and general duties for OTIs. The NCBFAA agrees that the majority of the proposed changes are mainly administrative or procedural and do not raise substantive issues or impose new regulatory obligations on licensees. However, one issue appears to arise with respect to a proposed change to section 515.14 which the NCBFAA suspects may not have been intended.

One change to section 515.14 proposes that the duration of an OTI license would be for a period of one to four years, as contrasted with the current three-year initial license period previously established in Docket No. 13-05. As written, this proposed rule implies that the “duration” of some OTIs licenses might only be for a one-year or two-year period, which we do not believe was the Commission’s intent. As the Commission will recall, the initial advanced notice of proposed rulemaking in Docket No. 13-05 proposed a renewal period of two years. However, the industry comments were resoundingly, and virtually uniformly, opposed to a license period of less than three years on the basis that anything less than three years would be unduly burdensome. The Commission agreed and implemented an initial three-year license period holding that doing so would facilitate the “smooth and timely” processing of licenses by Commission staff.

The NCBFAA assumes that the Commission did not intend for the rule proposed now to mean that some licenses would be issued for a period less than three years. A change of that nature would be both administratively burdensome to the Commission and unnecessarily burdensome to licensees, neither of which was the agency's intent on proposing this change. Instead, the NCBFAA assumes that the Commission was essentially trying to rationalize the process by which renewal obligations were set. The NCBFAA accordingly requests that the Commission clarify the proposed rule and ensure that the initial license remain at a period of three years.

The Association again wants to express its thanks to the Commission's efforts to simplify and remove unnecessary burdens and restrictions from the OTI regulations.

Respectfully submitted,

A handwritten signature in blue ink, appearing to read 'Ed Greenberg', is written over a horizontal line.

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